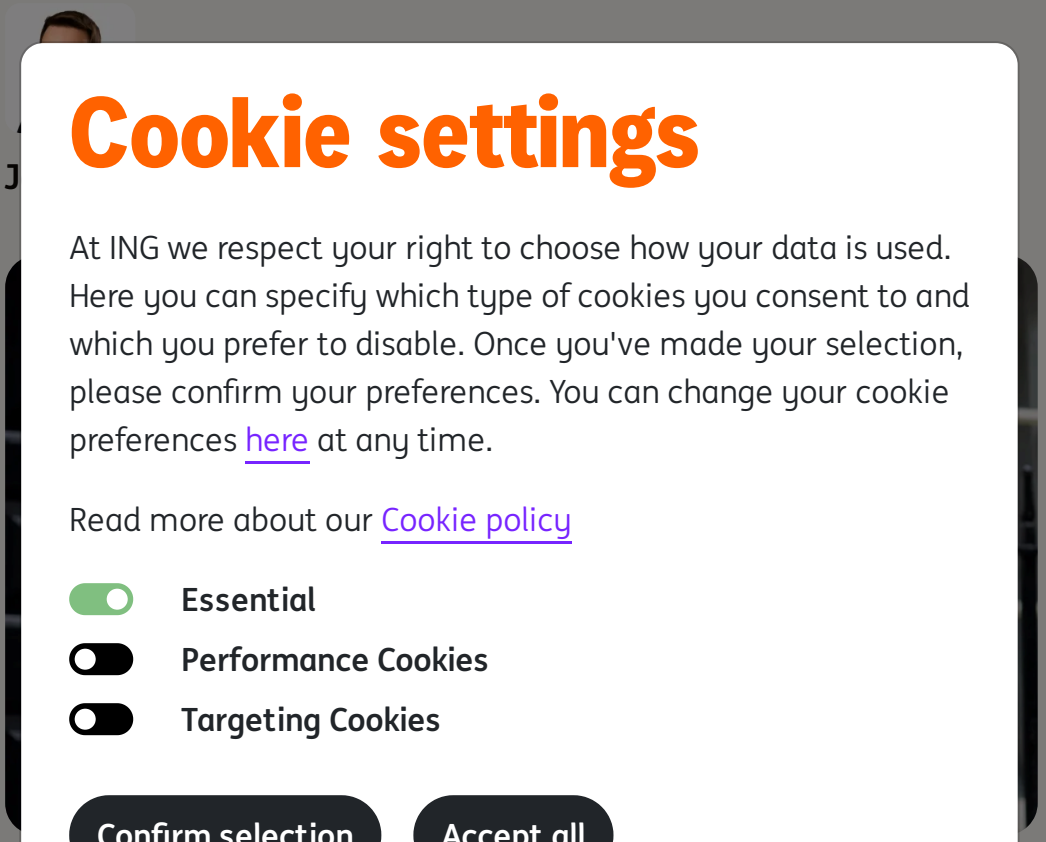
The UK's Autumn Budget keeps the deficit on a downward trajectory and, crucially, doesn't do anything that could make life harder for the Bank of England. But many of the UK's longer-term challenges remain unfunded and unaddressed, while the Budget keeps alive the option of an early election in 2027



funded


# Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all


There's a lot to like for investors in today's budget, even if a lot of it had been trailed in advance. UK Chancellor John Healey has kept the long-planned fiscal consolidation on track, despite rising borrowing costs. And, crucially, he's avoided doing anything that could make life decisively harder for the Bank of England, with a rate hike likely just days away.

There are two key numbers. The first is the 2027 budget deficit, which the independent Office for Budget Responsibility forecasts at

3.4%. That's down from 4.2% this year, which, even after the Iran War, is itself down from 4.4% last year. That's after accounting for the rise in borrowing costs, which add around half a percentage point to the deficit each year.

The UK's fiscal consolidation remains in play. And though it's taking longer than previously expected, it still means Britain is the only G7 economy actually taking steps to improve its deficit.

## The UK's deficit is set to fall, despite higher borrowing costs


# Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

**Essential**

**Performance Cookies**

**Targeting Cookies**


T
b
i
getting dragged into higher tax brackets. This 'fiscal drag' is driving the entirety of the deficit improvement next year; income tax as a share of GDP is projected to rise by almost half a percentage point. And aside from a small change to the basic allowance for low-income pensioners, there's nothing in Healey's first budget today that suggests this policy is imminently set to get watered down.

The result is that debt issuance – the number the markets ultimately care most about – is barely set to rise next year versus previous plans from the Debt Management Office. The £312bn gross financing requirement is below most people's expectations

(although there are a lot of moving parts here, and not all of them intrinsically linked to the government's fiscal choices).

The second key number is the degree of fiscal expansion. For the current fiscal year, this budget offers a small stimulus of roughly 0.2% of GDP – and for 2027, it's 0.1%. That's driven primarily by temporary and targeted energy support – a cut to VAT on electricity and a £100 rebate for certain households – which should also shave 0.1-0.2ppt off near-term inflation.

These are not the sorts of numbers that move the dial for the Bank of England. And though the BoE is on track to raise rates next week, a

a

T

r


# Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

**Essential**

**Performance Cookies**

**Targeting Cookies**


Source: Office for Budget Responsibility

Still, this is a budget that leaves more questions than answers.

How will the government account for higher inflation in departmental budgets? How will it fund defence? Both questions were left unanswered today. The government's overall spending pot for government departments was left largely unchanged later this decade, despite a higher path for inflation and the Chancellor's reaffirmed commitment to 3% NATO spending by 2030. Implicitly,

that pledge is being funded by squeezing other areas of government; the OBR's numbers imply real-terms cuts of 2.6% a year for unprotected departments later this decade.

That almost certainly won't happen – and this is before you take social care or any of Prime Minister Andy Burnham's other bold policies into account.

These thorny issues have been punted into 2027, potentially in the autumn, when the government will have to unveil its long-awaited Spending Review. This is the process that allocates spending across government departments and is fraught with political risk.


# Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

**Essential**

**Performance Cookies**

**Targeting Cookies**


European neighbours.

United Kingdom | Budget


**Content Disclaimer**

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share Download

# Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

**Essential**

**Performance Cookies**

**Targeting Cookies**